



Inflation

The general increase of average prices in an economy, accompanied by a decrease in the purchasing power of money, is called inflation. This leads to a rise in the cost of living.

How it works

Inflation is the year-on-year rise in general prices. This increase is usually measured by the cost of a basket of representative household goods. As more money is needed to buy the same goods and services, the value of money decreases, and day-to-day living becomes more expensive. There are various factors that influence inflation, but changes in the supply and demand of goods

and services, and of money, have a major impact. There are two main types of inflation: “cost-push” and “demand-pull”. Cost-push inflation is driven by businesses experiencing rising costs, which are then passed on to their customers. A business’s expenses might go up for a number of reasons, such as an increase in production costs or the need to raise the wages of employees. Demand-pull inflation

comes about when a high demand for goods exceeds firms’ ability or willingness to provide them. Rather than increasing supply to match rising demand, businesses raise their prices instead. This alone would not cause demand-pull inflation, but if there is also an oversupply of money in the economy, then consumers will continue to pay elevated prices, raising them further.

Cost-push inflation

There are several factors that can cause costs to rise. An increase in the price of raw materials, for instance, can have a knock-on effect, leading to a rise in prices throughout the economy. Increased energy and transport costs can also push prices up. Higher salaries and taxes are other examples of expenses that are ultimately passed on to customers in the form of rising prices.

Cost of necessary materials increases

The availability of an essential commodity, oil, becomes limited, raising its price and the cost of transport, heating, and manufacture. This has an immediate and widespread impact on basic costs for businesses, particularly those that require the commodity for production, such as this car factory.

Cost of components increases

The rising price of oil increases the costs involved in making the components that are used to manufacture cars, raising the business’s production costs.

